

Fearnleys Dry Bulk Weekly

May 27, 2026





Capesize/Newcastlemax

Over the last month, the laden/ballast ratio and the South Atlantic tightness model shown below have suggested the market was in toppish territory.

Fundamentals have been too strong to allow for any correction, with the gap between demand and supply remaining wide. For the near-term, the Cape180/Panamax82 ratio is the main thing to watch, as around 2.5 has been the peak for several years.

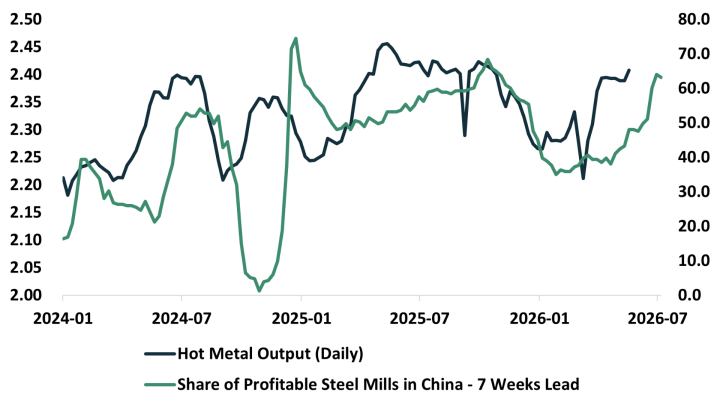
Top left chart: Iron ore consumption increased further last week, to year-to-date highs. The share of profitable steel mills dipped slightly last week, suggesting the peak for consumption is near.

Top right chart: Shipment volumes were 6.4% higher than last year through week 21. Still strongly positive, but down from the peak earlier this year. Supply growth is at 1.5%.

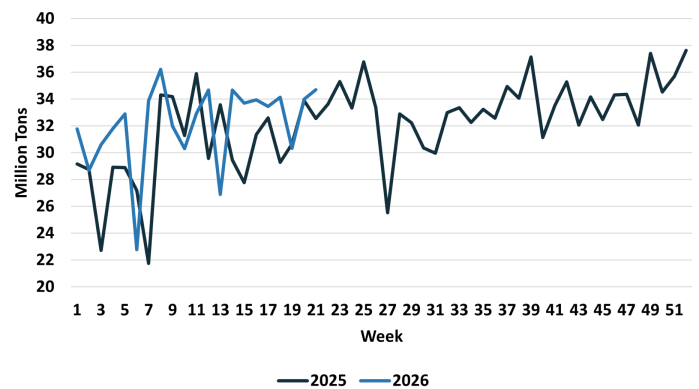
Bottom left chart: The SATI is still low, suggesting the market remains in toppish territory.

Bottom right chart: The laden/ballast ratio increased over the last week, and is above the longer-term average, but far from an extreme.

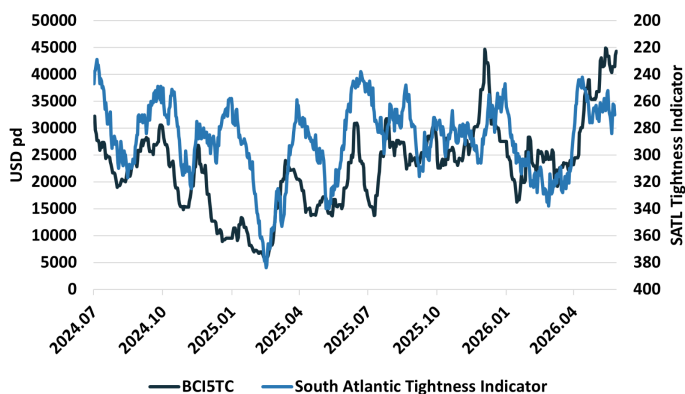
China - Hot Metal Output vs Share of Profitable Steel Mills (7 Weeks Lead)



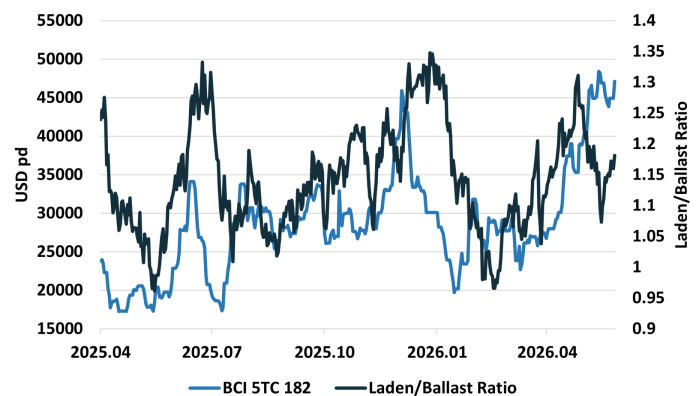
Weekly Shipment Volumes



C5TC 180 vs South Atlantic Tightness Indicator



Laden/Ballast Ratio





Panamax/Kamsarmax

The below indicators continues to suggest bearishness in the near-term.

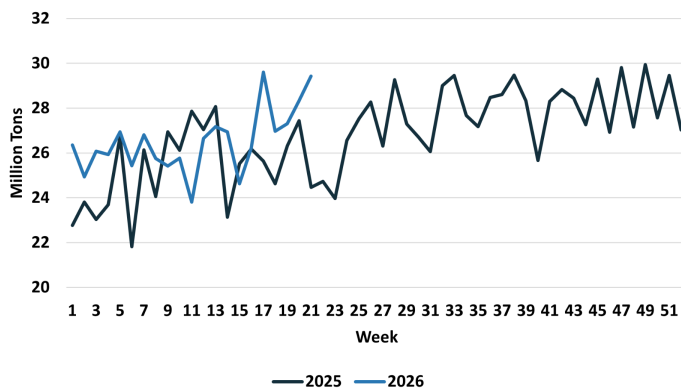
Top left chart: Shipment volumes were up 4.7% year on year through week 21, staying stable for about a month now. Supply growth is at 4%.

Top right chart: The coal futures curve contango increased further over the last week, thus suggesting downside for P5 in the near-term.

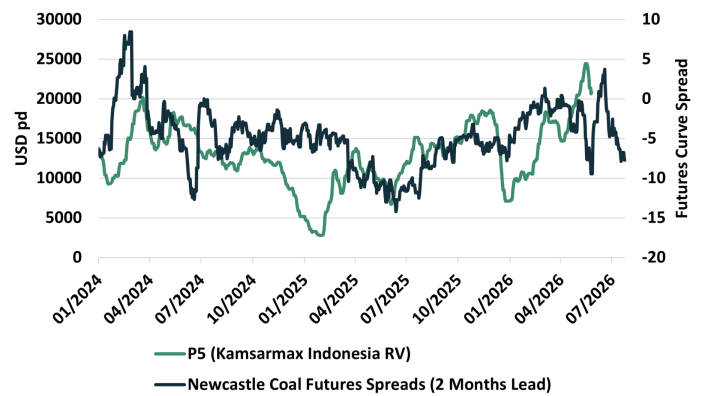
Bottom left chart: The Pacific tightness indicator suggests the market will soften in the near-term.

Bottom right chart: The SATL tightness indicator suggests the market will soften in the near-term.

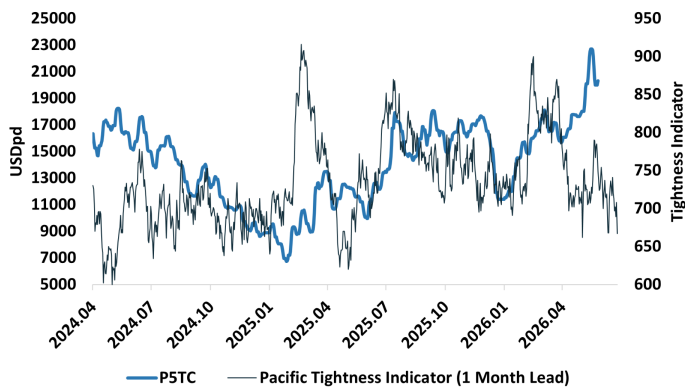
Weekly Shipment Volumes



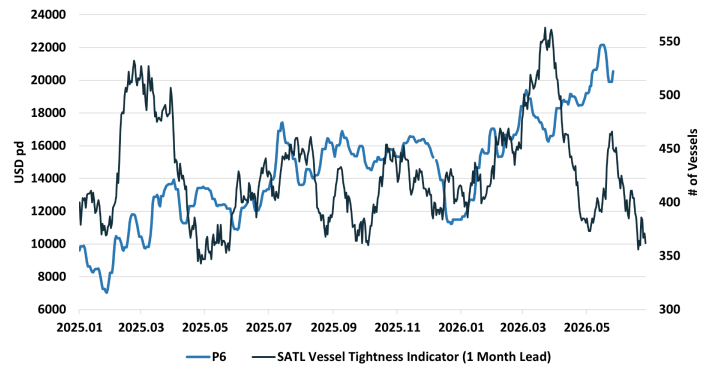
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



P5TC vs Pacific Vessel Tightness Indicator (Lead 1 Month)



P6 vs South Atlantic Vessel Tightness Indicator (Lead 1 Month)



Supramax/Ultramax

The below indicators suggest further upside is limited. Most likely, the S11TC index will drift sideways in the high teens.

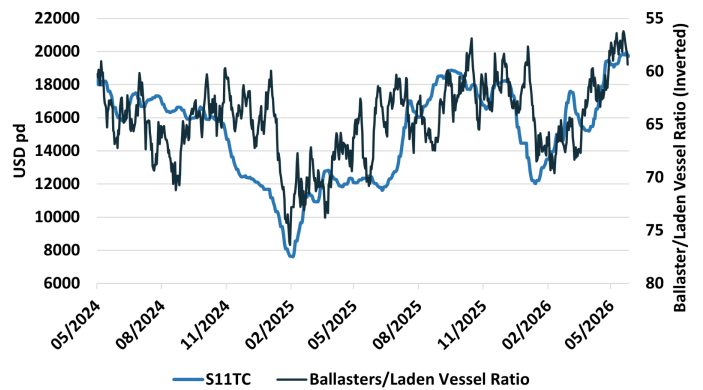
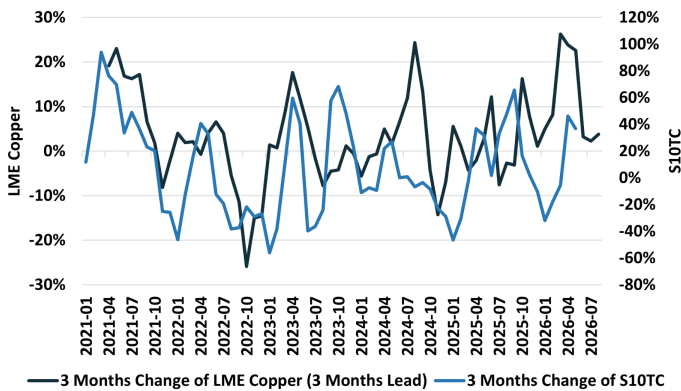
Top left chart: The three-month change in the price of copper seems to have correctly anticipated peak upward momentum of the Supra/Ultra indices last month. Going forward, the suggestion is for a sideways trending market.

Top right chart: The chart compares the ballaster/laden vessel ratio against the S11TC index. A low ballaster/laden vessel ratio reflects a tighter market balance.

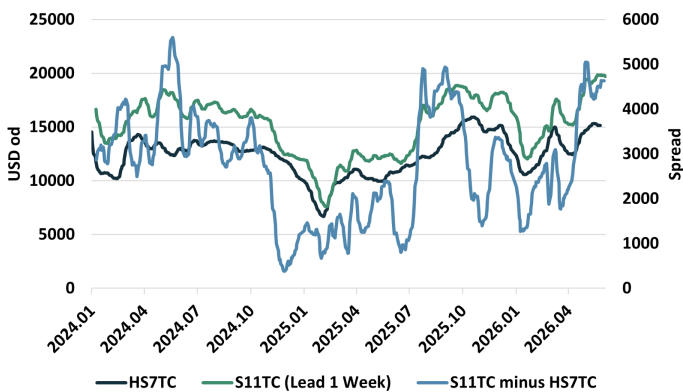
Bottom left chart: The Ultramax spread over the Handysize index is quite high, which usually means further upside is limited in the near-term.

Bottom right chart: Shipment volumes were up 5.4% year on year through week 21, decreasing a bit from the previous few weeks. Supply growth is at 5.2%.

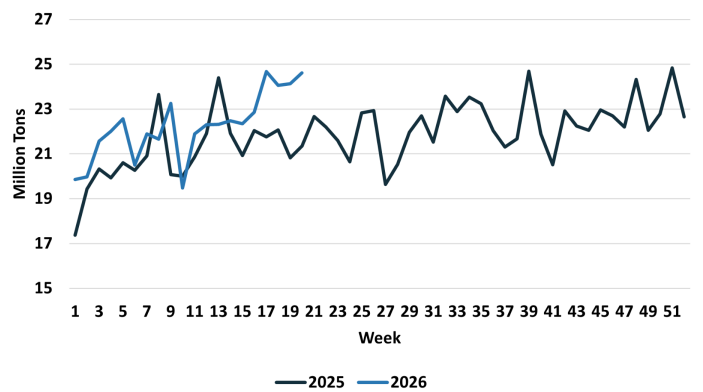
Copper Price 3 Months Change, 3 Months Lead S11TC vs Ballaster/Laden Vessel Ratio vs 3 Months Change of Supra 10TC



S11TC / HS7TC spread



Weekly Shipment Volumes





Handysize

The market will most likely trend sideways in the coming weeks.

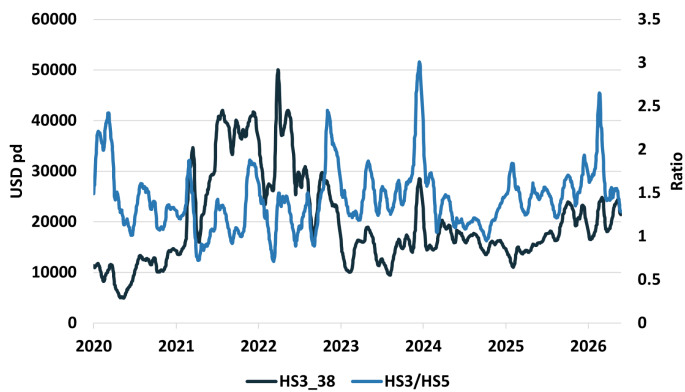
Top left chart: The ratio between Rio-Recalada / Skaw-Passero (HS3) and SEA / Singapore-Japan (HS5) is usually a good predictor of tops and bottoms of the HS3 route. A higher ratio suggests a market top, and a lower ratio suggests a market bottom. The ratio is quite low now and suggests the route could be close to bottoming.

Top right chart: Through week 21, Handysize shipment volumes were 4.1% higher year on year, decreasing a bit over the last few weeks.

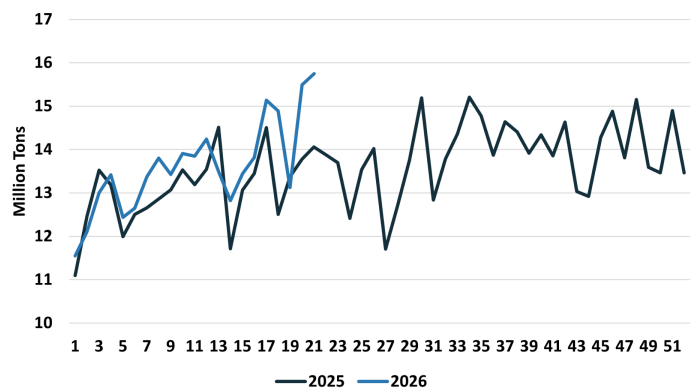
Bottom left chart: The correlation between the S11TC and HS7TC is over 90%. The correlation is even higher when the S11TC index is shifted forward a few days, which means that movements in the S11TC index often lead the movements of the HS7TC.

Bottom right chart: The laden/ballast ratio is an accurate measure of underlying fundamentals, shown by the high correlation it has with to HS7TC index.

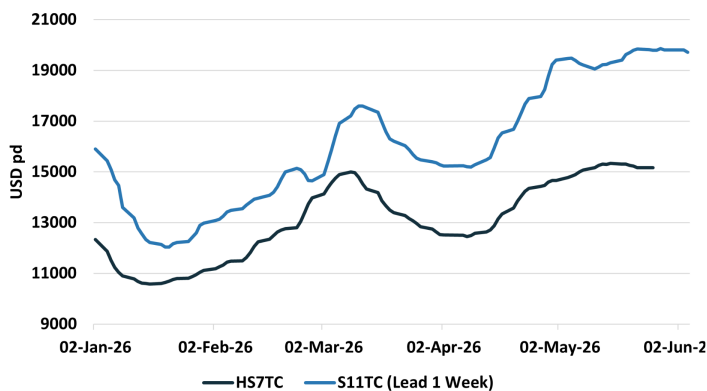
HS3 vs Ratio of HS3 and HS5



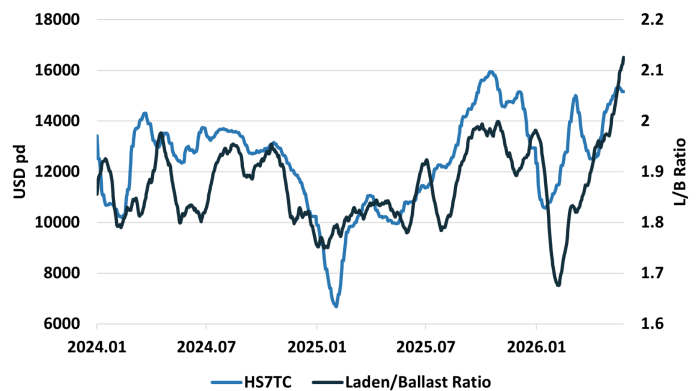
Weekly Shipment Volumes



S11TC Shifted 1 Week Forward, vs HS7TC



Handysize 7TC vs Laden/Ballast Ratio





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